

MSME PAYABLE EXPOSURE

Client	Sample Auto Components Pvt Ltd	Financial year	2025-26
PAN	ABCDE1234F	Governing provision	Income-tax Act, 1961, s.43B(h)
Rule pack	2026.08.1	Run hash	7730531e62591f0e
Run date	16-Aug-2026 23:16	Prepared for	Tax audit working papers

CONCLUSION

DISALLOWANCE	MSMED s.16 INTEREST	CORRECTLY NOT DISALLOWED
Rs 22,63,000	Rs 7,97,566.60	Rs 13,70,000
Section 43B(h)	NOT DEDUCTIBLE - s.23	Four coverage gates

BASIS AND ASSUMPTION

Acceptance-date policy: Date of acceptance has been taken as the invoice date. This is the conservative basis and may overstate exposure where goods were accepted later. Discussed with management.

Interest basis: RBI Bank Rate 5.50% effective 05-Dec-2025; MSMED Act s.16 rate is three times the Bank Rate, compounded with monthly rests. Rate changes are applied by dated segment in the invoice arithmetic.

Action List tax-impact rate: 25.17%. Illustrative rate only: 22% base × 10% surcharge × 4% cess = approximately 25.17%. This is used only to rank Action List savings and must be replaced with the client-specific applicable tax rate before professional use. This management estimate ranks cash-saving priorities only and does not alter the statutory disallowance or interest computation.

CONTROL TOTALS AND EVIDENCE

Source file	Built-in synthetic demonstration ledger v1
Source SHA-256	1586665cdebb8ef4379b3566d95a2cfa2cf0238b6c927984df20c9da404c14b5
Source purchase lines	5,578
Source purchase value	Rs 74,36,10,500
Lines in selected FY	5,578
Value in selected FY	Rs 74,36,10,500
Out-of-period lines	0
Out-of-period value	Rs 0
Value accounted for in FY	Rs 74,36,10,500
Control totals tie	YES

Attention: 40 vendor(s) rely on weak evidence. These classifications require resolution before the working paper is signed.

PROFESSIONAL USE AND SIGN-OFF

Strictly private and confidential. This document is a computation aid, not professional advice. The engagement team remains responsible for validating source data, vendor evidence, legal classification, the acceptance-date policy and the conclusions recorded in the tax audit file. The document must not be signed or circulated as final while control totals do not tie or evidence exceptions remain unresolved.

Prepared by	Demo Preparer	Reviewed by	Demo Reviewer
Signature		Signature	
Date		Date	